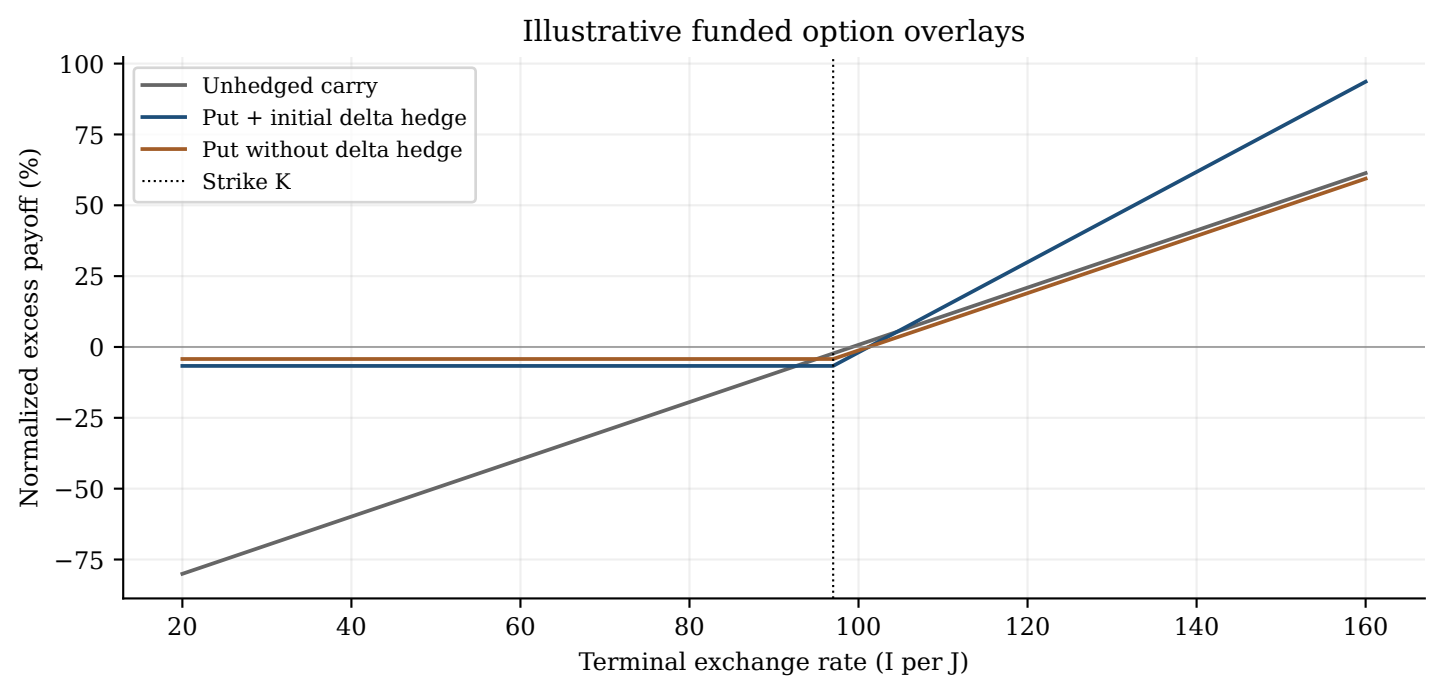
Illustrative funded option overlays
Unhedged carry
Put + initial delta hedge
Put without delta hedge
Strike K
Normalized excess payoff (%)
100
75
50
25
0
−25
−50
−75
20
40
60
80
100
120
140
160
Terminal exchange rate (I per J)